

Carbon Voluntary Markets

In recent years, the rise of carbon markets has become a pivotal response to the escalating global environmental crisis. This crisis, primarily driven by the emission of greenhouse gases, with carbon dioxide (CO₂) accounting for a staggering 80% of these emissions, has necessitated urgent and innovative measures.

Carbon dioxide, a major culprit in the environmental crisis, poses a significant threat due to its ability to absorb heat radiation on the Earth's surface. This absorption leads to a redistribution of heat, contributing substantially to the phenomenon of global warming. The consequences of unchecked global warming are far-reaching, impacting ecosystems, weather patterns, and sea levels.

In a bid to counteract the adverse effects of excessive carbon emissions, carbon credits have emerged as a strategic tool. These credits form the foundation of a market designed to regulate and reduce emissions, creating a structured approach to environmental conservation. The carbon market operates through two primary models: the compliance carbon market and the voluntary carbon market (VCM). Each model plays a distinct role in shaping the landscape of emissions reduction. The compliance carbon market imposes regulations and standards on businesses, ensuring they adhere to specified emission limits. On the other hand, the voluntary carbon market provides a platform for the buying and selling of carbon credits, fostering a market-driven approach to carbon reduction.

What is the Compliance Carbon Market?

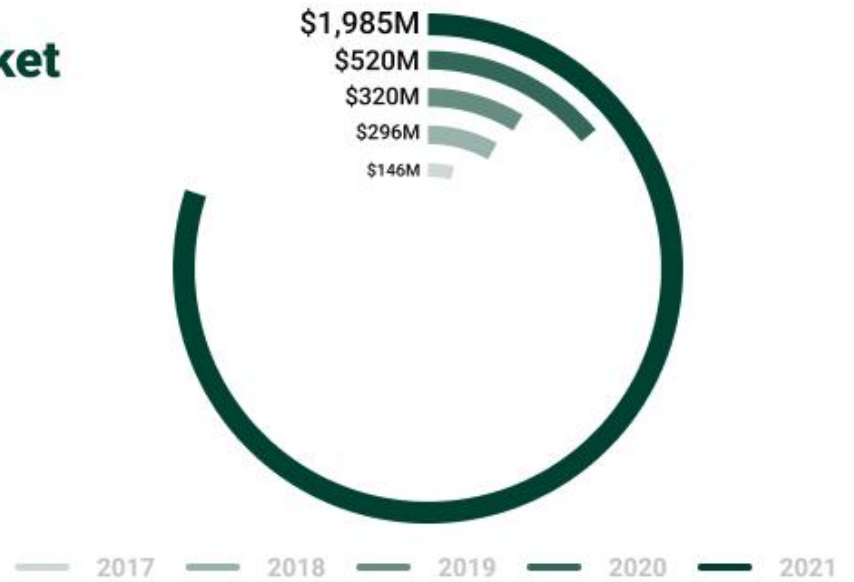
The compliance carbon market serves as a method for controlling carbon emissions through the implementation of laws and regulations established by national, regional, or international authorities. This approach involves measures like imposing carbon taxes or setting emission caps, creating financial consequences for exceeding these limits. With the market currently valued at \$899 billion in 2021, it reflects the substantial economic impact and commitment to environmental responsibility through regulatory means. Essentially, the compliance carbon market operates by making it more costly for entities to surpass specified emission limits, providing a powerful incentive for businesses to reduce their carbon footprint and adhere to established environmental standards.

What is the Voluntary Carbon Market?

The Voluntary Carbon Market is an emerging sector that empowers corporations to acquire carbon credits, effectively mitigating their inescapable carbon emissions by supporting projects aimed at preventing or removing carbon emissions.

The market has become substantial, reaching nearly \$2 billion in 2021. The size of the market has seen a significant jump, going from \$146 million in 2017 to a whopping \$1,985 million in 2021. The projections for the future are even more promising, with expectations that the market will grow three to four times its current size by the year 2030 (source: McKinsey & company, NGFS). This showcases the increasing interest and commitment of businesses to take tangible steps towards environmental responsibility through voluntary carbon offset initiatives.

Voluntary Carbon Market Value



Source: McKinsey & Company; NGFS

Why did the VCM emerge?

The emergence of the voluntary carbon market can be attributed to several compelling factors. Firstly, the severity of the environmental crisis and the pressing need for more impactful actions have prompted the development of voluntary initiatives to address carbon emissions. Additionally, companies recognize the importance of enhancing their reputations in an increasingly environmentally conscious world. Participating in the voluntary carbon market not only demonstrates a commitment to sustainability but also aligns with the expectations of environmentally conscious consumers. Furthermore, the flexibility inherent in the carbon market model plays a pivotal role. Its adaptability allows businesses to swiftly respond to global transitions and trends, positioning them to stay ahead in a rapidly evolving landscape. As a result, the voluntary carbon market has emerged as a dynamic and influential force, providing companies with a platform to contribute meaningfully to environmental conservation while navigating the evolving expectations of stakeholders.

What is Carbon Credit offsetting?

Carbon offsetting involves compensating for remaining greenhouse gas emissions by supporting projects that either absorb or prevent the release of carbon dioxide. The term "remaining" is crucial because organizations should engage in offsetting only after successfully reducing their emissions.